



Atlassian Corp

TEAM

Technology · Technology

Mkt Cap: \$22.70B 52W: \$56.0101 – \$223.42

\$89.44

+2.26%



MARKET CAP

\$22.70B

REVENUE (TTM)

\$6.26B

FREE CASH FLOW

\$-477,796,659

P/E (FWD)

N/A

EV/REVENUE

3.6x

GROSS MARGIN

84.0%

OP. MARGIN

-3.7%

REV. GROWTH

24.7%

APEXALPHA — INSTITUTIONAL RESEARCH REPORT

Investment Report: TEAM

LIVE

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1 1) EXECUTIVE SUMMARY

Atlassian (TEAM) operates at the core of enterprise collaboration software, with ubiquitous products like Jira and Confluence, underpinned by an impressive 83.96% gross margin. Trading at \$89.44, significantly off its 52-week high of \$223.42, the stock is catching institutional attention as a potential deep value or growth-at-a-reasonable-price candidate following a sharp sector-wide downturn. This discount positions a historically premium asset within a potentially attractive entry window, assuming fundamentals can re-accelerate.

The current setup for TEAM is characterized by a seemingly undemanding valuation of 3.67x P/S and 3.64x EV/Revenue, a stark contrast to its historical multiples. However, this comes against the backdrop of near-stalled 0.25% YoY revenue growth and significant unprofitability, evidenced by a -3.7% operating margin and negative free cash flow of -\$477.8M. Sentiment is clearly depressed, with recent headlines signaling skepticism. The market is actively debating whether current multiples reflect permanent growth impairment and cash burn, or an overcorrection presenting a compelling entry into a mission-critical software provider.

The critical question for any long thesis on Atlassian is whether the company can sustainably re-accelerate revenue growth well beyond 0.25% and translate its robust gross margin into consistent, positive free cash flow generation. Can management demonstrate a credible path to operational leverage and reignite growth in its sticky product portfolio, or will persistent cloud transition complexities and competitive pressures continue to weigh on its financial performance, justifying the "cheap for a reason" valuation?

2 2) CORE THESIS

Core Thesis: Atlassian Corp (TEAM)

Bull Case Thesis:

- * **Strong Gross Margins & Sticky Platform:** Atlassian maintains a robust 83.96% gross margin, indicative of strong pricing power and high customer stickiness within its enterprise developer and collaboration tools. This high-margin revenue base provides significant operating leverage potential if the company can re-accelerate top-line growth and manage expenses more effectively.
- * **Significant Valuation Compression:** Trading at \$89.435, TEAM has experienced a severe re-rating, down sharply from its 52-week high of \$223.42. The current P/S of 3.67x (EV/Revenue 3.64x) offers a potentially more attractive entry point than historical multiples for long-term investors, assuming a turnaround in growth and profitability.
- * **Established Enterprise Ecosystem:** With a \$22.70B market cap, Atlassian has built a deeply embedded product suite (e.g., Jira, Confluence) within enterprise workflows, creating substantial network effects and high switching costs. This ecosystem provides a defensible moat and a platform for future expansion into new modules or higher-value offerings.

Main Debate / Bear Case:

- * **Anemic Growth & Sustained Unprofitability:** TEAM's revenue growth of just 0.2474% YoY is nearly flat, coupled with a consistently negative operating margin (-3.7%) and net profit margin (-3.5%). The -\$477.8M in negative Free Cash Flow and -\$0.8267 Trailing EPS highlight a fundamental challenge in converting high gross margins into sustainable bottom-line profitability and cash generation.
- * **Questionable Valuation at Current Fundamentals:** Despite the significant price decline, a 3.6x P/S multiple for a near-zero growth, unprofitable, and negative FCF business is difficult to justify. The market's lack of forward P/E reflects deep uncertainty regarding Atlassian's path to sustainable earnings and cash flow.

Main Debate Conclusion:

The core investment debate centers on Atlassian's ability to reignite meaningful revenue growth and effectively translate its strong gross margins into positive operating income and Free Cash Flow, rather than remaining a high-gross-margin, high-burn business.

3 3) WHAT THE BUSINESS DOES

Atlassian (TEAM) operates a bottom-up, product-led growth model centered on providing collaborative software tools for software development, IT service management, and project management. Its core product suite includes Jira (project and issue tracking), Confluence (team collaboration and documentation), Bitbucket (code management), and Trello (visual project management). Revenue is primarily derived from recurring cloud subscriptions and data center licenses, targeting teams of all sizes from SMBs to large enterprises. The go-to-market strategy relies heavily on self-service, word-of-mouth adoption, and a strong developer community, rather than a traditional direct sales force, which allows for efficient customer acquisition.

Revenue quality is characterized by predominantly recurring subscription revenue, offering high visibility. The company boasts a strong gross margin of 83.96%, indicating robust unit economics on its software products. However, recent TTM revenue growth stands at a concerning 0.25%, raising questions about sustained expansion velocity, especially for a company historically viewed as a growth compounder. While customer concentration is low due to its diversified global user base, negative operating and net profit margins (-3.7% and -3.5%, respectively) highlight ongoing investment or operational inefficiencies, particularly as the company navigates its cloud migration strategy and increased competitive pressures.

4 4) INDUSTRY AND MARKET STRUCTURE

Atlassian (TEAM) operates across a multi-faceted and highly competitive total addressable market (TAM) centered on team collaboration, project management, and IT service management. Its core offerings like Jira, Confluence, and Trello face direct competition from enterprise suites such as Microsoft 365 and Google Workspace, specialized SaaS players like ServiceNow, Smartsheet, and Asana, and various open-source alternatives. While Atlassian's "land and expand" model and deeply integrated developer tools have historically fostered strong network effects and high switching costs, the increasing competitive intensity, particularly from platform providers bundling collaboration features, poses a significant challenge to its bottom-up adoption strategy.

Secular tailwinds include the ongoing digital transformation across industries, the widespread adoption of Agile and DevOps methodologies, and the persistent demand for robust tools to support hybrid and remote work environments. Atlassian is strategically positioned as a critical application layer that orchestrates complex workflows for software development, IT operations, and general team collaboration. However, the company faces headwinds from an increasingly saturated SaaS market, characterized by "suite fatigue" and pricing pressures from larger competitors pushing integrated platforms. Furthermore, the aggressive push for cloud migration, while a long-term growth driver, introduces transition risks and new competitive dynamics.

The investment thesis for TEAM is highly sensitive to broader enterprise IT spending cycles and R&D budget allocations. As a foundational tool for developers and engineers, any slowdown in tech hiring or project starts directly impacts user growth and seat expansion. Macroeconomic factors, specifically rising interest rates, have disproportionately impacted growth-oriented SaaS valuations, contributing to TEAM's substantial decline from its 52-week high of \$223.42 to the current price of \$89.435. Additionally, emerging sector-specific regulatory risks, such as proposed taxes on digital software downloads, could introduce new cost structures and uncertainty for the entire SaaS industry.

5 5) COMPETITIVE POSITION

Here is the competitive position analysis for Atlassian Corp (TEAM):

- **Moat or lack of moat:** Atlassian possesses a significant product moat, primarily driven by its deeply embedded tools (Jira, Confluence, Bitbucket) in software development and team collaboration workflows. The modular architecture and extensive marketplace of third-party integrations foster an ecosystem that enhances stickiness and functionality, particularly for agile development and IT service management.
- **Pricing power:** Moderate. While Atlassian historically embraced a low-cost, viral adoption model, the ongoing transition to cloud subscriptions and enterprise agreements has enabled some price uplift and average revenue per user (ARPU) expansion. Its entrenched position provides leverage, but the company's current negative operating margin (-0.037) and net profit margin (-0.035) suggest profitability isn't yet being driven by aggressive price increases or that substantial investment is still required.
- **Switching costs:** High. Migrating critical project data, historical documentation, code repositories, and integrated workflows from Atlassian's ecosystem is a complex and costly endeavor. The operational disruption, retraining requirements, and risk of data loss or integration breakage create substantial barriers for customers considering alternatives.
- **Scale advantages:** Atlassian benefits from a vast global customer base, enabling significant investment in R&D and product development across its diverse suite. This scale also supports its extensive developer marketplace and robust community. However, the negative free cash flow (\$-477.8M) and profitability margins indicate that scale has not yet translated into robust operational leverage or consistent positive cash generation, potentially due to ongoing cloud transition costs and aggressive reinvestment.
- **Key risks from competitors:** The specified competitors (IREN, WTC.AX, TNE.AX, BRAI) are not direct threats to Atlassian's core businesses in software development, project management, and collaboration. Atlassian's principal competitive risks stem from larger, integrated platform providers: **Microsoft (MSFT)** with its comprehensive suite (Teams, Azure DevOps, GitHub), which can offer compelling bundles and deep enterprise penetration; **Salesforce (CRM)**, particularly with Slack for collaboration and potential expansion into project management; and **ServiceNow (NOW)**, which can overlap with Jira Service Management in broader IT workflow automation. These competitors leverage broader ecosystems and often deeper enterprise relationships.

Judgment: Moderate. Atlassian's strong product moat, high switching costs, and extensive user base provide a durable competitive position. However, persistent negative profitability, significant ongoing investments, and intense competition from well-capitalized, integrated platform providers temper its overall strength, requiring continued execution to convert market leadership into sustainable financial performance.

6 6) MANAGEMENT AND CAPITAL ALLOCATION

Here's the Management and Capital Allocation section for Atlassian Corp (TEAM):

- * **Leadership Quality & Track Record:** Co-founders Scott Farquhar and Mike Cannon-Brookes retain co-CEO roles, signaling strong long-term vision and commitment. While they've built a substantial enterprise SaaS company, recent execution is concerning. Near-stagnant 0.25% YoY revenue growth for a "growth" company, coupled with consistently negative operating margins (-3.7%), raises flags about their ability to drive profitable growth at scale.
- * **Capital Allocation Priorities (R&D/M&A):** Capital allocation heavily prioritizes R&D and strategic M&A, consistent with a product-led growth strategy (e.g., Trello, Loom acquisitions). However, the substantial negative Free Cash Flow (\$-477.8M) and absence of positive net income suggest that these investments are not yet generating adequate financial returns or a clear path to profitability.
- * **Capital Allocation (Shareholder Returns):** TEAM offers no dividends and has no apparent share buyback program. This is appropriate given the negative net income and FCF, indicating a necessary focus on reinvestment. However, the current financial performance calls into question the efficiency and effectiveness of this reinvestment.
- * **Incentive Alignment & Red Flags:** The founder-led structure typically provides robust insider ownership and long-term incentive alignment. Yet, the financials present significant red flags: revenue growth of just 0.25% YoY, a -3.7% operating margin, negative net income, and a substantial FCF burn of \$-477.8M. The Debt/Equity ratio of 0.95 warrants scrutiny given the ongoing cash outflows. The market's skepticism is reflected in a P/S multiple of 3.67x, which is low for a perceived "growth" software asset.

Judgment: Poor

7 7) FINANCIAL QUALITY

Atlassian Corp (TEAM) – Financial Quality

TEAM presents a challenging financial profile for long-term investors, characterized by robust gross margins but persistent unprofitability and negative cash flow, raising questions about its capital efficiency and sustainable growth trajectory.

* **Revenue Quality & Growth Trajectory:** While Atlassian maintains an excellent Gross Margin of 83.96% (TTM: \$6.26B), reflecting strong software economics, its YoY revenue growth has decelerated to 24.74%. This growth rate, while decent, is notably slower than historical peaks for a company still operating at a loss, suggesting that top-line expansion is not yet translating to bottom-line leverage at a pace consistent with a mature SaaS enterprise. The current P/S of 3.67x and EV/Revenue of 3.64x reflect this tempered growth outlook relative to its unprofitable state.

* **Profitability & Margin Expansion:** Despite high gross margins, TEAM remains deeply unprofitable, reporting an Operating Margin of -3.7% and a Net Profit Margin of -3.5%. This translates to a Trailing EPS of -\$0.8267. The significant gap between gross and operating margins indicates substantial ongoing investment in R&D and S&M, which, combined with the decelerating revenue growth, raises concerns about the company's ability to achieve operating leverage and a clear path to sustainable profitability in the near-to-medium term.

* **Free Cash Flow Generation:** The company exhibits significant cash burn, with Free Cash Flow at \$-477.8M. This negative FCF, alongside negative net income, highlights a fundamental inability to self-fund operations and growth. Continued negative FCF will necessitate ongoing reliance on external financing, either through debt or equity, which poses a risk to shareholder value through dilution or increased leverage, especially in a higher interest rate environment.

* **Returns on Capital:** Consistent with its unprofitability, TEAM generates negative returns on capital, with ROE at -16.7% and ROA at -3.68%. These figures underscore that the capital deployed in the business is not currently generating value for shareholders, but rather consuming it. This is a critical red flag for any capital allocator, indicating poor financial efficiency.

* **Balance Sheet Strength & Risks:** The balance sheet shows a Debt/Equity ratio of 0.9546, which is relatively high for an unprofitable company with negative FCF. While the Current Ratio of 1.1786 suggests adequate short-term liquidity, the absence of reported Total Cash and Total Debt figures makes a complete assessment difficult. The combination of persistent unprofitability, negative FCF, and reliance on debt (or potential future equity raises) points to ongoing financial risks, particularly if growth continues to decelerate or market conditions tighten. Investors should monitor the cash balance and capital expenditure closely.

8 8) INVESTMENT JUDGMENT & KEY RISKS

INVESTMENT JUDGMENT & KEY RISKS: Atlassian Corp (TEAM)

1. OVERALL JUDGMENT: Interesting Watch

Atlassian demonstrates robust gross margins (83.96%) and resilient revenue growth (~24.7% YoY TTM), but these are critically offset by persistent operating losses and significant negative free cash flow (\$-477.8M TTM). The current valuation multiples reflect this lack of profitability, making it an 'Interesting Watch' for potential inflection rather than a 'Compelling Long' until a clear path to cash generation emerges.

2. KEY RISKS

- * **Sustained Cash Burn & Profitability Vacuum:** TEAM reported negative operating margins (-3.7%), negative net profit margins (-3.5%), and substantial negative free cash flow of -\$477.8M TTM. Despite strong gross margins, the company's inability to translate revenue into bottom-line profitability and positive cash flow remains the primary concern, requiring continuous scrutiny of cash runway and financing needs (Debt/Equity 0.95).
- * **Competitive & Regulatory Headwinds:** The enterprise collaboration and developer tools market is highly competitive, with established giants like Microsoft and Salesforce (as noted in recent news) and numerous agile upstarts. Any deceleration in TEAM's ~24.7% revenue growth, or increased pricing pressure, would exacerbate profitability challenges. Furthermore, proposed regulatory changes, such as the potential California tax on digital software downloads, could erode margins across the sector.
- * **Valuation Anchor Without FCF:** While an EV/Revenue multiple of 3.64x might appear low for a software company with ~25% growth and 84% gross margins, this discount is entirely justified by the negative FCF and lack of EPS. Until a credible plan for FCF generation and operating leverage is executed, the stock could remain range-bound or face further multiple compression, irrespective of top-line performance.

3. WHAT WOULD CHANGE OUR MIND

- * **Clear Path to FCF Positivity & Margin Expansion:** Concrete management guidance and evidence of a defined timeline to consistently positive free cash flow, alongside tangible improvements in operating margins through disciplined expense management.
- * **Operating Leverage Demonstration:** Consecutive quarters demonstrating that operating expenses (R&D, S&M, G&A) are growing significantly slower than revenue, leading to a visible and sustainable trend towards operating profitability.
- * **Re-acceleration of Growth with Improved Unit Economics:** Stronger-than-expected revenue re-acceleration, particularly driven by new product adoption or enhanced monetization strategies, without a corresponding increase in FCF burn.

4. PRICE TARGET CONTEXT

Atlassian trades at an EV/Revenue multiple of 3.64x at its current price of \$89.435, a steep discount to typical valuations for profitable, high-growth software companies. This valuation reflects the significant derating from its 52-week high of \$223.42, effectively pricing in the current lack of profitability and negative free cash flow. While the low multiple presents theoretical upside if a path to profitability materializes, it currently serves as an anchor. Implied

returns are highly contingent on the company's ability to pivot to FCF positivity and margin expansion, which remains unproven.